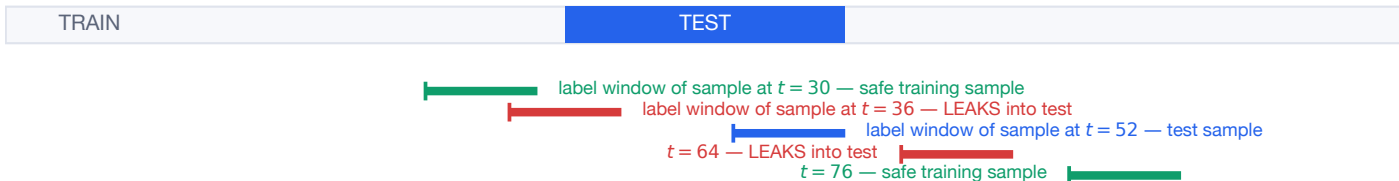
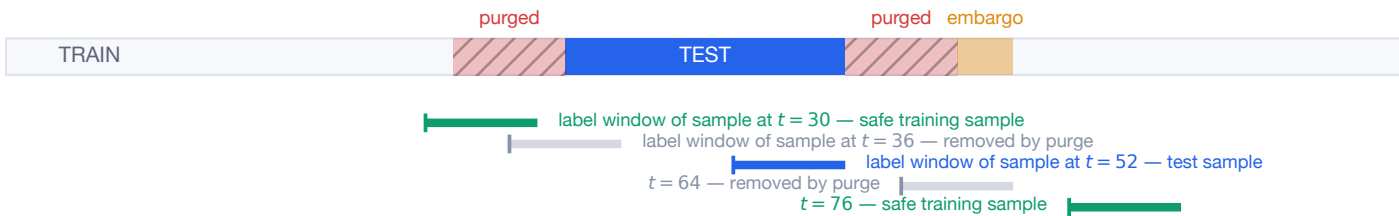


Figure 5 — Why standard cross-validation leaks on financial labels, and what purging removes

Standard k -fold: training labels overlap the test window



Purged k -fold with embargo: overlapping samples removed



Verified (S-15): on data with ZERO true predictability, shuffled k -fold reports $\text{AUC } 0.526 \pm 0.004$; contiguous blocks 0.499 ± 0.006 ; purged + embargoed 0.501 ± 0.006 .